

CropConnect — Investor Pre-Read

DONE-FOR-YOU LOCAL SOURCING FOR INDEPENDENT RESTAURANTS, RUN BY AN AI AGENT · INDIANAPOLIS

A restaurant names one ingredient. Our agent finds the local farms, signs the contract, runs weekly delivery, holds payment in escrow, and tracks the margin. The owner does two things: ask, and put it on the menu. We make money on a monthly service fee, not on the food, so we earn software margins on a problem everyone else tried to solve with trucks.

1 · THE PROBLEM, IN NUMBERS

Independent full-service restaurants run on a net margin of about **3–5% of revenue**.¹ Food and labor alone consume roughly **60 cents of every dollar**.¹ There is almost no room to cut, so growth has to come from charging more for the same seats.

Local sourcing is how kitchens do exactly that. **38% of U.S. diners** say they are more likely to choose a restaurant that offers locally sourced food,² and **55%** want to know the story behind what they eat.³ But sourcing locally by hand is a second full-time job: finding farms, vetting them, negotiating prices, writing agreements, scheduling deliveries, and covering shortfalls when a crop comes up short. An owner already working 60-hour weeks skips it. **The demand exists; the labor to capture it does not.**

2 · WHAT WE DO, STEP BY STEP

CropConnect is an AI agent that runs local sourcing end to end. The restaurant enters one need — say, **40 lbs of heirloom tomatoes a week**. With no further work from the owner, the agent:

- ranks vetted local farms by crop, distance, reliability, and price;
- splits the order across several farms if one cannot cover the volume;
- drafts a supply contract and runs a short negotiation over quality terms (organic, grade, freshness window);
- schedules weekly deliveries through third-party logistics;
- holds the food payment in escrow and releases it to the farm only after delivery is confirmed; and
- tracks the added margin on each dish.

Setup takes about **ten minutes**, and the first ingredient is free. The product is built and live today, including the agent, the contracts, the escrow, and a free instant sourcing audit any restaurant can run before signing up.

3 · WHY NOW

Two curves crossed. Diner demand for local has risen for years — the share of shoppers who rate ingredient transparency as important went from **69% in 2018 to 76% in 2023**.³ And AI agents have only just made the coordination behind local sourcing cheap enough to give away as a done-for-you service. Work that used to require a salaried sourcing manager can now be run by software. This is the first moment both are true at once.

4 · THE MARKET

U.S. restaurants did about **\$1.1 trillion** in sales across roughly **1 million** locations in 2024.⁴ Our wedge is the independent full-service segment — the operators who both want local sourcing and lack the staff to do it. We win one metro at a time and earn density before expanding.

In the **Indianapolis metro** there are roughly **4,500** restaurants; we estimate about **1,500** are target independents.⁵ At a blended **\$10,700** per restaurant per year, that is about **\$16 million** of annual revenue available in Indianapolis alone — before a second market.⁵

5 · WHY NO ONE HAS WON THIS — AND EXACTLY WHY THEY FAILED

This is a graveyard, and the cause of death is consistent.

- **Webvan** raised more than **\$800 million** to deliver fresh groceries, built its own warehouses and truck fleet, expanded city by city, and filed for bankruptcy in 2001.⁶
- **Good Eggs** raised roughly **\$50 million** to deliver local food, scaled to four cities, and in 2015 laid off most of its staff and retreated to a single market.⁶
- **Farmigo** (2016), **Door to Door Organics** (2016), and **Relay Foods** (2016) each tried to aggregate small farms and deliver the food themselves. Each shut the business down.⁶

The reason was the same every time: **they owned the perishable inventory and the logistics**. Warehouses, trucks, and spoilage are cash-intensive and low-margin, and the math gets worse — not better — as you add cities. They also sold to consumers, the most price-sensitive buyer, and they expanded geography before the unit economics worked. Meanwhile the large distributors (Sysco, US Foods) serve scale but not small local farms: for them, "local" is a marketing checkbox, not the product.

Why we are structurally different, point by point:

- We own **no warehouses, no trucks, no inventory**. The restaurant funds the food at the farm's price — we mark up nothing — and delivery is contracted to third parties at cost.
- We sell to **restaurants on a recurring fee**, not to price-sensitive consumers.
- We earn **density in one metro** before opening a second, instead of expanding into losses.
- The coordination that made this business unprofitable by hand is now run by an **AI agent**. We kept the one part with software economics and left the cash-intensive parts to the people already good at them.

6 · HOW WE MAKE MONEY (SO THERE IS NO CONFUSION)

Three explicit parts:

- **Food**: billed to the restaurant at the farm's price. We make **\$0** on the food itself.
- **Delivery**: passed through at third-party cost. We make **\$0** on logistics.
- **Service fee**: our only revenue. A **\$299** monthly base plus a per-item fee that scales with volume, blending to about **\$896** per restaurant per month (~\$10,700/year).

Because our costs are software, agent compute, and a thin coordination layer, the service-fee gross margin runs about **80% at scale**.

Acquisition is led by a part-time industry insider and warm introductions; at ~\$896/month and ~80% gross margin, a customer contributes about \$717/month, so even a \$1,000 acquisition cost pays back in under two months (illustrative).

7 · WHY WE KEEP WINNING (THE MOAT)

- **Two-sided density**: once we vet and contract a city's farms, a new entrant has to rebuild the whole local supply base. More restaurants pull more farm capacity; more farms mean better fill.
- **Proprietary data**: every contract, delivery, and price trains the agent on local supply, reliability, and demand, so our matching and forecasting beat any generic tool.
- **Switching costs**: once we run a kitchen's sourcing, contracts, deliveries, and margins, replacing us means rebuilding their supply chain by hand.

8 · STATUS AND THE ASK

The product is built and live; we are **pre-revenue**. We are raising **\$50,000–\$100,000** on a post-money SAFE (**\$4M** cap, **20%** discount, MFN). About **80%** of the round goes to sales. It funds one milestone: **15 paying kitchens and about \$13,000 in monthly recurring revenue in Indianapolis within 90 days** — the proof point to raise a priced seed.

Sources. 1 — Restaurant net-margin and prime-cost benchmarks: National Restaurant Association; Restaurant365 industry benchmarks. 2 — National Restaurant Association, 2022 State of the Restaurant Industry (38% more likely to choose a restaurant with locally sourced food). 3 — FMI, transparency and foodservice trends, 2023 (transparency importance 69% in 2018 to 76% in 2023; 55% want the story behind their food). 4 — National Restaurant Association, 2024 industry forecast (~\$1.1T sales; ~1M locations). 5 — Indianapolis restaurant counts and revenue opportunity are internal estimates. 6 — Company outcomes are publicly reported: Webvan (bankruptcy, 2001); Good Eggs (layoffs and market exit, 2015); Farmigo, Door to Door Organics, and Relay Foods (ceased food operations, 2016).